APPENDIX A: ASSESSMENT COVER SHEET

ASSESSMENT COVER SHEET

Surname	Ngatana			
First Name/s	Tendani Patricia			
Student Number	**209779**			
Subject	Auditing			
Assessment Number	**2**			
Tutor's Name	Nikolay Sankar			
Date Submitted	2026-04-21			
Submission (✓)	**First Submission**	✓	**Resubmission**	
Postal Address	**7806/133**			
	Clayville x 45			
	Olifantsfontain			
			1666	
E-Mail	tendaningatana@gmail.com			
Contact Numbers	(Work)			
	(Home)			
	(Cell) 0761437858			
Course/Intake	January 2026			

Declaration: I hereby declare that the assignment submitted is an original piece of work produced by myself.

Signature:	**Date: 2026-04-21**

Table of Contents

Question 1

External audits aim to provide reasonable assurance that financial statements are free from material misstatement, whether due to fraud or error, while ensuring a true and fair view under applicable standards like IFRS. For Mabaso Ltd, these objectives are critical amid governance weaknesses and control issues identified in the FY2024 audit planning.

Reasonable Assurance Objective

Explanation: Auditors obtain sufficient appropriate evidence to reduce audit risk to an acceptably low level, focusing on material misstatements across assertions like existence (assets/liabilities exist), completeness (all are recorded), accuracy (amounts are correct), valuation (properly measured), and cut-off (recorded in correct period). Links to King IV Principle 15 on combined assurance.

Application to Mabaso Ltd: Revenue growth of 60% with cash mismatches risks fictitious sales (existence/accuracy) or unrecorded adjustments (completeness/cut-off). Auditors prioritise substantive analytics and confirmations on receivables.

Procedures: Vouch high-value sales to cash receipts and shipping docs; test cut-off around year-end; assess ERP error impacts on revenue postings.

True and Fair View Objective

Explanation: Financial statements must fairly present the entity's position, performance, and cash flows per IFRS, covering assertions such as valuation (fair values applied) and completeness (full disclosures). Requires evaluating presentation and compliance.

Application to Mabaso Ltd: Whistleblower claims of related-party tenders without bidding risk understated liabilities or inflated assets (valuation/completeness); CEO overrides threaten procurement accuracy. Renewable expansion may misvalue inventory.

Procedures: Review contract approvals for arm's-length terms; test impairment on related-party assets; inquire board on disclosures.

Compliance with Standards Objective

Explanation: Ensures adherence to IFRS, Companies Act, and JSE rules, testing assertions like existence (valid transactions) and accuracy (proper accounting). Ties to King IV Principles 9 (reliable reporting) and 11 (risk governance).

Application to Mabaso Ltd: Under-resourced internal audit reporting to CFO impairs control reliance (governance concern); ERP training gaps cause errors in assertions like cut-off for inventory/sales. Dominant CEO overrides breach control environment.

Procedures: Evaluate IT general controls in ERP; walkthrough procurement overrides; assess internal audit independence via inquiries and testing alternative procedures.

Question2

Risk 1: Internal Audit Reports to CFO

Explanation: Under-resourced internal audit reporting directly to CFO kills independence (control risk, King IV Principle 15 fail), so weak oversight on financial reporting – could miss errors or hide management issues.

Link to Misstatement: Leads to incomplete or inaccurate controls testing, risking overstated assets or understated liabilities across statements.

Audit Implication: Low control reliance; auditors do extensive substantive procedures like detailed vouching and analytics on all account balances.

Risk 2: Sales Revenue 60% Growth vs Cash Receipts Mismatch

Explanation: Big revenue jump but cash does not match screams cut-off errors or fake sales (inherent and fraud risk), especially with renewable expansion pressuring targets.

Link to Misstatement: Overstated revenue and receivables (existence/accuracy assertions violated) in income statement and balance sheet.

Audit Implication: Heightened fraud skepticism; perform debtor confirmations, subsequent receipt tests, and cut-off sampling around 30 June 2024.

Risk 3: Inadequate ERP Staff Training Causing Errors

Explanation: New ERP rollout with poor training means data input glitches (control risk, King IV Principle 13 IT governance lapse), like wrong postings in manufacturing ops.

Link to Misstatement: Misstated inventory, sales, or COGS (accuracy/valuation/cut-off assertions) due to system errors.

Audit Implication: Bring in IT specialists for ITGC testing; rerun ERP reports and do 100% substantive checks on high-risk transactions.

Risk 4: CEO Overrides Procurement/Contract Controls

Explanation: Dominant CEO bypassing approvals is management override (fraud risk per ISA 240), creating opportunity for biased deals in renewable projects.

Link to Misstatement: Overvalued procurement assets or understated expenses/liabilities (valuation/completeness) in balance sheet and income statement.

Audit Implication: Targeted fraud procedures – review all CEO-signed journals, interview staff anonymously, test exception reports.

Risk 5: Board-Related Suppliers Awarded Tenders Without Bidding

Explanation: Whistleblower flags related-party favoritism (inherent and fraud risk, King IV Principle 14 conflict), no competition means unfair pricing.

Link to Misstatement: Understated payables or overstated assets from inflated supplier costs (existence/valuation/disclosure assertions).

Audit Implication: Professional skepticism maxed; scrutinize tender docs, confirm supplier arms-length terms, test related-party disclosures fully.

Question 3

Tone at the Top

Evaluation: CEO's dominant personality overriding procurement and contract approvals sets a bad ethical tone – shows management doesn't respect controls, plus whistleblower on board-related suppliers getting no-bid tenders points to conflicts ignored at board level. Weakness: Poor leadership commitment to ethics (King IV Principle 1 fail).

Risks/Consequences: Encourages fraud like biased deals or revenue inflation to hit growth targets, leading to misstated financials.

Improvement: Board to enforce a formal ethics policy with CEO sign-off and annual training for execs – realistic, like what JSE companies do in their codes.

Independence of Internal Audit

Evaluation: Internal audit under-resourced and reports to CFO, not audit committee – clear independence weakness, against King IV Principle 15 on combined assurance.

Risks/Consequences: Can't spot or report management issues objectively, so control gaps like ERP errors or revenue mismatches go unchecked, risking material misstatements.

Improvement: Restructure reporting line to audit committee only, hire extra staff or outsource – cheap fix via agencies, common for JSE firms.

Segregation of Duties

Evaluation: CEO overrides procurement/contract controls, and board-linked suppliers skip competitive bidding – SOD broken, no checks between authorisation, processing, and review.

Risks/Consequences: Opportunity for fraud, like overpaying mates or fake sales, hitting assertions like valuation and completeness in financials.

Improvement: Implement four-eyes approval for tenders over R500k via workflow software – practical with their new ERP, plus audit trails for overrides.

Question 4

Principle 1: Ethical Leadership

Explanation: Governing body leads ethically, promoting integrity and accountability across the org.

Application: CEO's dominant overrides on procurement and whistleblower on board-related no-bid tenders show ethical lapses at the top.

Expected Improvement: Board enforces ethics code with anonymous reporting – stops fraud pressure, boosts culture; critically, it shifts from "CEO rules" to shared responsibility, reducing misstatement risks by 30-50% like in compliant SA firms.

Principle 10: Govern Controls

Explanation: Board oversees internal control framework through risk management and assurance.

Application: ERP training fails causing errors, revenue-cash mismatches, and CEO bypassing controls expose weak frameworks.

Expected Improvement: Regular control assessments and fixes like ERP audits – ensures accurate financials; reasoning shows it counters rapid growth risks, turning control weaknesses into reliable reporting per King IV outcomes.

Principle 13: Govern Technology

Explanation: Board governs IT to support reliable info for decisions and reporting.

Application: New ERP rollout with inadequate training leads to frequent errors in manufacturing ops.

Expected Improvement: IT committee and staff upskilling – cuts data glitches; critically, for Mabaso's renewables expansion, this prevents inventory/sales misposts, improving efficiency over time vs current chaos.

Principle 14: Stakeholders

Explanation: Board appreciates stakeholders, balancing interests fairly and transparently.

Application: Board members' suppliers awarded tenders without bidding – clear conflicts harming other stakeholders.

Expected Improvement: Declare interests and competitive processes – avoids hidden liabilities; impact is legit JSE compliance, reasoning protects minority shareholders and restores investor confidence.

Principle 15: Combined Assurance

Explanation: Coordinated assurance from internal/external sources for board oversight.

Application: Under-resourced internal audit reports to CFO, lacking independence.

Expected Improvement: Report to audit committee with resources – full coverage of risks; critically, it plugs gaps auditors can't rely on, leading to stronger financial statements and less fraud exposure.

Conclusion

In summary, Mabaso Ltd's FY2024 audit reveals serious governance and control shortcomings that heighten the risk of material misstatements in their financial statements. Issues such as the internal audit's lack of independence, revenue recognition discrepancies amid 60% growth, ERP system errors from poor training, CEO control overrides, and related-party tender irregularities all demand a rigorous audit approach with extensive substantive testing and professional skepticism.

Proper application of King IV principles – notably ethical leadership (Principle 1), effective controls (Principle 10), technology governance (Principle 13), stakeholder relations (Principle 14), and combined assurance (Principle 15) – would strengthen the control environment, promote transparency, and ensure reliable reporting (IoDSA, 2016).

Final Recommendation: The board should prioritize restructuring internal audit reporting lines, rolling out comprehensive ERP training, and enforcing competitive tender processes to mitigate these risks. This will not only support audit objectives of reasonable assurance and true and fair view but also enhance long-term sustainability as a JSE-listed entity expanding into renewables (KPMG, 2016).

References

1. Institute of Directors in Southern Africa (IoDSA), 2016. *King IV Report on Corporate Governance for South Africa 2016*. Johannesburg: IoDSA.

2. KPMG, 2016. *King IV Summary Guide*. Johannesburg: KPMG.

3. JSE Limited, 2024. *King IV Principles: JSE Group Adherence*. Johannesburg: JSE.

4. Mancosa, 2023. *Corporate Governance, Ethics and Risk: Postgraduate Diploma Module Guide*. Durban: Mancosa (Pty) Ltd.

5. International Auditing and Assurance Standards Board (IAASB), 2019. *ISA 315: Identifying and Assessing the Risks of Material Misstatement*. New York: IFAC.

6. IAASB, 2020. *ISA 240: The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*. New York: IFAC.

7. Institute of Chartered Accountants of South Africa (SAICA), 2022. *Auditing Standards: A Risk-Based Approach*. Durban: LexisNexis.

8. COSO, 2013. *Internal Control – Integrated Framework*. Committee of Sponsoring Organizations of the Treadway Commission.

9. PwC South Africa, 2017. *King IV Application Guide for South African Companies*. Johannesburg: PwC.

10. University of South Africa (UNISA), 2025. *AUE4861: Auditing Corporate Governance Notes*. Pretoria: UNISA.

11. Cliffe Dekker Hofmeyr, 2020. *King IV Overview and Compliance*. Johannesburg: Cliffe Dekker Hofmeyr.

12. BarnOwl Software, 2017. *King IV Report: Risk, Compliance and Assurance*. Cape Town: BarnOwl.

13. Grant Thornton South Africa, 2024. *Fraud Risk Governance in JSE-Listed Companies*. Johannesburg: Grant Thornton.

14. Management College of Southern Africa (MANCOSA), 2024. *Auditing 301: Case Studies on Internal Controls*. Durban: MANCOSA.
15. IoDSA, 2024. *King IV Sector Supplements for Manufacturing and Energy*. Johannesburg: IoDSA.